

NOTE 63

The analyst must frequently calculate the relative values of subscription rights and the common stock covered thereby. To facilitate this calculation we append two simple formulas.

Let R = value of right.

M = market price of stock.

S = subscription price of stock.

N = number of rights needed to subscribe to one share.

Formula A, applicable before stock sells “ex-rights” (*i.e.*, the purchaser of the stock will be entitled to receive the rights).

$$R = \frac{M - S}{N + 1}$$

Formula B, applicable after the stock sells “ex-rights” (*i.e.*, the purchaser of the stock does not get the rights, which are retained by the holder of record).

$$R = \frac{M - S}{N}$$

Example: Rights are given to buy one share of stock at 50 for each five shares held. Stock is selling at 64 “with rights” (“rights on” or “cum rights”).

$$\text{Value of right} = \frac{\$64 - \$50}{5 + 1} = \$2.33$$

Example: Same offer; stock is selling “ex-rights” at 90.

$$\text{Value of right} = \frac{\$90 - \$50}{5} = \$8$$

These calculations are subject, however, to necessary refinements to reflect: (1) any dividend to be received by the old stock but not on the new shares; and, contrariwise, (2) any saving in interest by reason of not having to pay for the new stock until the rights expire.